

DISCLAIMER: For detailed provisions and regulations, please refer to the PFRDA (Exits and Withdrawals under the National Pension System) Regulations, 2015 and amendments thereof.

Q1	What is an exit?
	An exit is defined as the closure of the individual pension account of the subscriber under the National Pension System. In the following scenarios; (i). Upon attaining the age of 60 years; (ii). Before attaining the age of 60 years; (iii). Any time after attaining the age of 60 years till 75 years; (iv). Due to physical incapacitation or upon suffering bodily disability before the age of 60 years; and (v). Due to death or subscriber being declared missing
Q2	What is the procedure to exit from NPS?
	A subscriber shall submit the exit or withdrawal application for the purpose of withdrawing the benefits upon exit as provided in the regulations, on or before the expected date of exit from the National Pension System (NPS) to the associated point of presence. In case of death or subscriber being declared missing, the nominee(s), family member(s) as specified under the service rules or legal heir(s) shall submit the claim settlement application along with the required documents to the associated point of presence of the deceased subscriber.
<i>Exit upon attaining the age of 60 years – Normal Exit</i> 60 (साठ) वर्ष की आयु प्राप्त करने पर ननकास – सामान्य ननकास	
Q3	What will be my benefits at exit?
	Annuitization – Minimum of 40% of accumulated pension wealth will be utilized for monthly annuity or pension. However, subscriber has the option to utilise more than 40% of accumulated pension wealth for purchase of annuity. Lumpsum – Remaining 60% of accumulated pension wealth shall be paid to the subscriber.
Q4	Can I completely withdraw my accumulated pension wealth without annuitization?
	Yes, if your accumulated pension wealth is equal to or less than a sum of five lakh rupees.
Q5	Will I get an annuity if I have completely withdrawn my accumulated pension wealth?
	No, the right of the subscriber to receive any pension or other amount under the NPS will extinguish.

Q6	What will happen in case I do not exit beyond age of 60 years?
	You will continue to remain subscribed to the NPS upto the age of 75 (seventy-five) years.
Q7	Can I exit during the automatic continuation period extended beyond the age of 60 years?
	Yes, the subscriber may exit at any point of time from NPS, by submitting a request to the associated point of presence or NPS Trust.
Q8	What will happen in case of death of subscriber during the period of automatic continuation?
	The entire accumulated pension wealth of the subscriber will be paid to the nominee(s) or legal heir(s) of the subscriber.
Q9	Whether annuity can be purchased by a nominee or the legal heir of the deceased subscriber?
	Yes, the nominee(s) or legal heir(s) of the subscriber have the option to purchase any of the annuities being offered upon exit.
Q10	Can I defer my lump sum withdrawal?
	Yes, you can defer the withdrawal of the lump sum amount. Such deferment can be upto the age of seventy-five years.
Q11	What will happen in case of death of subscriber during the period of deferment of lump sum withdrawal?
	In case of death of subscriber during the period of deferment, such deferred amount of the subscriber will be paid to nominee(s) or legal heir(s).
Q12	Can I defer the purchase of annuity?
	Yes, you can defer the purchase of annuity. Such deferment can be upto the age of seventy-five years.
Q13	Whether annuity can be purchased during the deferment period?
	Yes, the subscriber has an option to purchase an annuity at any point of time during the deferment period by submitting a request to NPS Trust or any intermediary or entity authorized by the Authority for this purpose.
Q14	What will happen to purchase of annuity in case of death of subscriber during deferment period?
	If death of the subscriber occurs before the due date of extended period of purchase of annuity, the entire accumulated pension wealth of the subscriber shall be paid to the nominee(s) or legal heir(s), of the subscriber.

Q15	Can I defer my both - lump sum and purchase of annuity?
	Yes, both lump sum and purchase of annuity can be deferred but the subscriber agrees to bear the maintenance charges of the PRA, including the charges payable to the Central Recordkeeping Agency (CRA), Pension Fund (PF), Trustee Bank or any other intermediary, as may be applicable from time to time.
Q16	What is the procedure to defer the lump sum withdrawal and/or purchase of annuity?
	The subscriber shall submit his/her written request for deferment of the lump sum and/or purchase of annuity, fifteen days prior to attaining the age of 60 years, to any intermediary or NPS Trust.
Q17	Can I exit during the deferment period of lump sum and/or annuity?
	Yes, the subscriber can exit from the NPS at any point of time during the deferment period.
Q18	If I continue my Tier - I of PRA even after attaining the age of 60 years, Can I avail the facility of deferment of lump sum and/or annuity during the extended period?
	No, upon exercising the option of continuation after attaining the age of 60 years, the options of deferment of benefits (lump sum and/or annuity) shall not be available.
Q19	Whether can I defer the lump sum withdrawal and/or purchase of annuity in the automatic continuation period?
	No, the option of deferment of defer the lump sum withdrawal and/or purchase of annuity, shall not be available.
Exit due to physical incapacitation or suffering bodily disability before the age of 60 (sixty) years – Normal Exit 60 (साठ) वर्ष की आयु से पूर्व शारीरिक नवकलांगता या अक्षमता के कारण ननकास - सामान्य ननकास	
Q20	Am I eligible for exit if I am suffering from any disability?
	Yes, you are eligible for exit from NPS in case of physical incapacitation or suffering bodily disability leading to incapability to continue under NPS.
Q21	What are the documents required to exit from NPS?
	A disability certificate from a Government surgeon or doctor (treating such disability or invalidation of subscriber) stating the nature and extent of disability and also certifying that: (a). the affected subscriber shall not be in a position to perform his regular duties and there is a real possibility of the affected subscriber, being not able to work for the remaining period of his life.; and

	(b). Percentage of disability is more than seventy-five percent in the opinion of such Government surgeon or doctor (treating such disability or invalidation of subscriber).
Q22	What will be my benefits?
	Same as exiting from NPS upon attaining age of 60 years (refer Q3 to Q5).
<i>Exit before attaining the age of 60 (sixty) years – Premature Exit</i> 60 (साठ) वर्ष की आयु प्राप्त करने से पूर्व ननकास- समयपूर्व ननकास	
Q23	When can I exit from NPS?
	You can voluntarily exit from NPS before attaining the age of 60 years if you are having subscribed to NPS for at least a minimum period of five years.
Q24	What will be my benefits at the exit?
	Annuitization – Minimum of 80% of accumulated pension wealth will be utilized for monthly annuity or pension. Lumpsum – Remaining 20% of accumulated pension wealth will be paid to the subscriber.
Q25	Can I completely withdraw my accumulated pension wealth without annuitization?
	Yes, if your accumulated pension wealth is equal to or less than a sum of two lakh fifty thousand rupees.
Q26	Will I get an annuity if I have completely withdrawn my accumulated pension wealth?
	No, the right of the subscriber to receive any pension or other amount under the NPS will extinguish.
Q27	What will happen if my accumulated pension wealth is more than a sum of two lakh fifty thousand rupees and my age is less than the minimum age required for purchasing any annuity from any of the empaneled annuity service providers?
	You will remain in NPS, until you attain the age of eligibility for purchase of any annuity. After attaining the minimum age required for purchasing any annuity, you can purchase the annuity as per your choice.
<i>Exit due to death before attaining the age of 60 years</i> 60 (साठ) वर्ष की आयु प्राप्त करने से पूर्व मृत्यु होने पर ननकास के प्रावधान	
Q28	What are the provisions to settle the case upon unfortunate death of the subscriber?
	The entire accumulated pension wealth of the deceased subscriber shall be paid to the nominee(s) or legal heir(s).

Q29	Whether annuity can be purchased by a nominee or the legal heir of deceased subscriber?
	Yes, the nominee(s) or legal heir(s) of the deceased subscriber has the option to purchase any of the annuities being offered upon exit.
Q30	What will happen if deceased subscriber did not register nomination?
	The accumulated pension wealth shall be paid to the family members on the basis of the legal heir certificate issued by the competent authorities of the State concerned or the succession certificate issued by a court of competent jurisdiction.
Exit provisions – for subscriber joined NPS between age of 60 to 70 years ननकास प्रावधान – 60 से 70 वर्ष की आयु के बीच एनपीएस में शानमल हुए अनिदाता के नलए	
Q31	When can I exit?
	You can exit at any point of time, before attaining age of seventy-five years. However, your benefits at exit may vary depending upon the subscribed period (before or after completing three years from the date of joining of NPS).
Q32	What will be my benefits if I opt to exit after completing three years?
	Annuitization – Minimum of 40% of accumulated pension wealth will be utilized for monthly annuity or pension. However, subscriber has the option to utilise more than 40% of accumulated pension wealth for purchase of annuity. Lumpsum – Remaining 60% of accumulated pension wealth shall be paid to the subscriber.
Q33	Can I completely withdraw my accumulated pension wealth without annuitization?
	Yes, if your accumulated pension wealth is equal to or less than a sum of five lakh rupees.
Q34	Will I get an annuity if I have completely withdrawn my accumulated pension wealth?
	No, the right of the subscriber to receive any pension or other amount under the NPS will extinguish.
Q35	What will be my benefits if I opt to exit before completing three years?
	Annuitization – Minimum of 80% of accumulated pension wealth will be utilized for monthly annuity or pension. Lumpsum – Remaining 20% of accumulated pension wealth will be paid to the subscriber.
Q36	Can I completely withdraw my accumulated pension wealth without annuitization?
	Yes, if your accumulated pension wealth is equal to or less than a sum of two lakh fifty thousand rupees.

Q37	Will I get an annuity if I have completely withdrawn my accumulated pension wealth?
	No, the right of the subscriber to receive any pension or other amount under the NPS will extinguish.
Q38	What will happen in case of death of the subscriber?
	The entire accumulated pension wealth of the deceased subscriber will be paid to the nominee(s) or legal heir(s).
<i>Exit from Tier-II</i> नियर -II से ननकास के प्रावधान	
Q39	What will happen to Tier – II account in case of exit from Tier-I?
	Upon exit from tier-I of the NPS, the tier-II account of the subscriber will also be simultaneously and automatically closed, even if an application so specified for the purpose has not been received from the subscriber or nominees or legal heirs, and amounts under the said account will be paid to the subscriber or nominees or legal heirs.
Q40	Can I continue Tier - II account after exercising the option of continuation of Tier - I account?
	Yes, you can continue with Tier - II account as per your requirement, till closure of Tier - I account.
Q41	How many times can I withdraw from Tier – II account?
	You can withdraw any number of times from Tier – II account.
Q42	How much can I withdraw from Tier – II account?
	A subscriber can withdraw the accumulated wealth either in full or part, at any time. There shall be no limit on such withdrawals till the account has a sufficient amount of accumulated pension wealth to take care of the applicable charges and the withdrawal amount.
<i>Partial withdrawal (during accumulation phase)</i> आंनशक प्रत्याहरण (जमा / जारी रखने के दौरान)	
Q43	Can I partially withdraw funds from my accumulated pension wealth before exit?
	Yes
Q44	How much funds can be partially withdrawn?
	Up to 25% of own contributions (without considering the appreciation / returns on the amount) as on the date of application of such withdrawal.

Q45	How many times can I partially withdraw funds?
	You are allowed to partially withdraw maximum of three times during the entire tenure of subscription under the NPS.
Q46	When can I initiate my first partial withdrawal?
	You can initiate first partial withdrawal after completing period of three years from the date of your joining the NPS.
Q47	Is there any time gap between two partial withdrawal applications?
	No However, you will receive 25% of own contribution made between two partial withdrawals.
Q48	What are the conditions under which partial withdrawal can be exercised?
	Partial withdrawal is allowed for the following specific purposes only. (a). for Higher education of his or her children including a legally adopted child; (b). for the marriage of his or her children, including a legally adopted child; (c). for the purchase or construction of a residential house or flat in his or her own name or in a joint name with his or her legally wedded spouse. In case, the subscriber already owns either individually or in the joint name a residential house or flat, other than ancestral property, no withdrawal under these regulations shall be permitted; (d). for treatment of specified illnesses: if the subscriber, his legally wedded spouse, children, including a legally adopted child or dependent parents suffer from any specified illness, which shall comprise of hospitalization and treatment in respect of the following diseases: (i). Cancer; (ii). Kidney Failure (End Stage Renal Failure); (iii). Primary Pulmonary Arterial Hypertension; (iv). Multiple Sclerosis; (v). Major Organ Transplant; (vi). Coronary Artery Bypass Graft; (vii). Aorta Graft Surgery; (viii). Heart Valve Surgery; (ix). Stroke; (x). Myocardial Infarction (xi). Coma; (xii). Total blindness;

	(xiii). Paralysis; (xiv). Accident of serious/ life threatening nature. (xv). any other critical illness of a life-threatening nature as stipulated in the circulars, guidelines or notifications issued by the Authority from time to time. (e). to meet medical and incidental expenses arising out of the disability or incapacitation suffered by the subscriber. (f). Towards meeting the expenses by subscriber for skill development/re-skilling or for any other self-development activities, as may be permitted by the Authority by issuance of appropriate guidelines, in that behalf. (g). Towards meeting the expenses by subscriber for establishment of own venture or any start-ups, as may be permitted by the Authority by issuance of appropriate guidelines, in that behalf.
Q49	What is the procedure, if I am unable to submit my partial withdrawal application due to specified illness?
	The request for withdrawal may be submitted through any family member of such subscriber.
Nomination नानमनतकरण	
Q50	Is nomination mandatory in NPS?
	Yes
Q51	Who can be nominated?
	If a subscriber has a family at the time of making a nomination, the nomination shall be in favour of one or more persons belonging to his/her family.
Q52	What is the definition of family for the purpose of Nomination under NPS?
	For the purposes of nomination wherever provided in the regulation; (i). in relation to a male subscriber, shall mean his legally wedded wife, his children, whether married or unmarried, his dependent parents and his deceased son's widow and children; (ii). in relation to a female subscriber, shall mean her legally wedded husband, her children, whether married or unmarried, her dependent parents, her husband's dependent parents and her deceased son's widow and children;

	(iii). in relation to any subscriber who does not identify themselves as male or female - their legally wedded spouse, their children, whether married or unmarried, their dependent parents and their deceased son's widow and children; Explanation – in any of above three, if the child of a subscriber or as the case may be, the child of a deceased son of the subscriber has been adopted by another person and if, under the personal law of the adopter, adoption is legally recognized, such a child shall be considered as excluded from the family of the subscriber.
Q53	What happens if I nominated a person not belonging to my family, despite having family?
	Any such nomination made in favour of a person not belonging to your family shall be invalid and the you (subscriber) have to submit fresh nomination belonging to your family.
Q54	What happens if the nominee predeceases the subscriber?
	Such Nomination shall become void and the subscriber has to submit nomination again.
Q55	Can I nominate more than one person and what shall be percentage of accumulated pension wealth among nominees?
	Yes, you can nominate more than one nominee and can assign percentage of accumulated pension wealth among them in a way that total of such assignments should be equal to 100%.
Q56	Is it mandatory to file fresh nomination after the marriage?
	Yes, a fresh nomination is required to be made by the subscriber upon his/her marriage.
Q57	What will happen to my nomination if I have not filed a fresh nomination after marriage?
	The nomination made before marriage becomes invalid and you have to submit nomination again.
Q58	Who can be nominated if I do not have a family?
	If you have no family at the time of making a nomination, the nomination may be in favour of any person or persons but if you subsequently acquire a family, such nomination shall forthwith be deemed to be invalid and you shall make a fresh nomination in favour of one or more persons belonging to your family.
Q59	Can I nominate a minor?
	Yes - the nomination can be wholly or partly in favour of a minor. Further, the subscriber may appoint a major person of his family, to be the guardian of the minor nominee in the event of the subscriber predeceasing the nominee and the guardian.
Q60	Can I appoint any other person to be guardian to minor nominee?
	Yes – if there is no major person in the family

Q61	How many times can I modify the nomination?
	You can change the nomination any number of times.
Annuity / Pension (monthly or periodical pay out) वानर्षकी/ पशेंन (मानसक या आवनधक िुगतान)	
Q62	What is annuity?
	Annuity means series of payments/benefits to the subscriber at specified intervals as per the choice of subscriber paid by annuity service provider (ASP). The main objective of an annuity is to give regular income to the subscriber even after retirement/working age.
Q63	Is it mandatory to purchase annuity under NPS at the time of exit?
	Yes, except there are some scenarios where the subscriber/nominees/legal heirs can withdraw the whole accumulated pension wealth as mentioned above.
Q64	Which companies are empaneled by the PFRDA as ASPs to provide annuities under NPS?
	Annuity shall be purchased from Annuity Service Providers (ASPs) empaneled with the PFRDA. The list of 14 ASPs empaneled is as under: (i). Aditya Birla Sun Life Insurance Company Limited (ii). Bajaj Life Insurance Limited (iii). Canara HSBC Life Insurance Company Limited (iv). Edelweiss Tokio Life Insurance Company Limited (v). HDFC Life Insurance Company Limited (vi). ICICI Prudential Life Insurance Company Limited (vii). IndiaFirst Life Insurance Company Limited (viii). Kotak Mahindra Life Insurance Company Limited (ix). Life Insurance Corporation of India (x). Max Life Insurance Company Limited (xi). PNB MetLife India Insurance Company Limited (xii). SBI Life Insurance Company Limited (xiii). Star Union Dai-ichi Life Insurance Company Limited (xiv). Tata AIA Life Insurance Company Limited <i>* For any update in empaneled Annuity Service Providers (ASPs), you are requested to refer PFRDA's website.</i>

Q65	In case of exit before attaining the age of sixty years from NPS, when will annuity start i.e. immediately or after the age of 60 years?
	Annuity starts immediately after the minimum age as required for purchasing any annuity (depending upon choice of ASP and Annuity scheme for e.g. 30, 35, 38) from any of the empaneled annuity service providers. Subscriber/nominees/legal heirs need not wait till the age of 60 years.
Q66	What are the annuity options available under NPS?
	The following are the most common variants that are available: (a). Annuity for life with return of purchase price (amount given to annuity service provider) on death- Subscriber will receive payment of annuity till he/she is alive and payment stops after the death of subscriber. However, purchase price will be returned to nominees / legal heirs. (b). Annuity guaranteed for 5, 10, 15 or 20 years and for life thereafter - On death during the guarantee period – Subscriber will receive payment of annuity till he/she is alive and thereafter during the remaining guaranteed period, annuity will be paid to the nominee till the end of the guaranteed period after which the same ceases/stops. However, return of purchase price will not be returned to nominees / legal heirs. On death after the guarantee period – Subscriber will receive payment of annuity till he/she is alive even after the guaranteed period is over. Payment of annuity stops after the death of the subscriber. However, return of purchase price will not be returned to nominees / legal heirs. (c). Annuity payable for life - Subscriber will receive payment of annuity till he/she is alive and payment stops after the death of the subscriber. However, return of purchase price will not be returned to nominees / legal heirs. (d). Annuity for life increasing at simple rate of 3% p.a. – Subscriber will receive payment of annuity till he/she is alive increasing at simple rate of 3% p.a. and payment stops after the death of the subscriber. However, return of purchase price will not be returned to nominees / legal heirs. (e). Annuity for life with a provision for 50% of the annuity to the spouse of the annuitant for life on death of the annuitant/subscriber - Subscriber will receive

	payment of annuity till he/she is alive and thereafter spouse will receive 50% of payment of annuity till he/she is alive. Payment of annuity stops after the death of spouse. If the spouse predeceases the subscriber, payment of annuity will cease after the death of the annuitant. It may be noted that this annuity variant may be taken with or without return of purchase price. (f). Annuity for life with a provision of 100% of the annuity payable to spouse during his/her lifetime on death of the annuitant/subscriber – Subscriber will receive payment of annuity till he/she is alive and thereafter spouse will receive payment of annuity till he/she is alive. Payment of annuity stops after the death of spouse. If the spouse predeceases the subscriber, the annuity ceases after death of the annuitant. It can be with or without return of purchase price. It may be noted that this annuity variant may be taken with or without return of purchase price. <i>*Subscriber can also add spouse in any of the variants above.</i> <i>**All ASPs may not provide all the variants. It may vary from ASP to ASP.</i> <i>***Pricing of annuity also varies from ASP to ASP.</i>
Q67	Whether amount invested in annuity will be returned?
	Only in annuity types where there is a provision of return of purchase price.
Q68	Where can I check the rates offered by the annuity service providers on various type of annuities?
	Details of annuity rates and other details may be checked on CRAs' website [<i>Computer Age Management Services Limited, KFin Technologies Limited and Protean eGov Technologies Limited</i>] and website of respective empaneled ASPs.
Q69	Can I change my annuity service provider or annuity type any time?
	Once an annuity is purchased, the option of cancellation or reinvestment with another Annuity Service Provider or in other annuity scheme shall not be allowed unless the same is within the time limit specified by the Annuity Service Provider, for the free look period as provided in the terms of the annuity contract or specifically provided by the Insurance Regulatory and Development Authority.

Tax provisions at withdrawals under the NPS

एनपीएस के तहत ननकास पर कर प्रावधान

Q70	What are tax benefits available?
	<u>Tier – I</u> Lump sum Withdrawal - In case of exit upon attaining the age of 60 years lump sum withdrawal i.e. 60% of the total accumulated pension wealth is tax exempted. Annuity - The amount utilized for purchase of annuity at exit upon attaining the age of 60 years is tax exempted. However, the annuity income (pension) received will be taxed in the year of receipt as per the applicable tax slab of the subscriber. Partial Withdrawal – The amount received by employee under the NPS is tax exempted. <u>Tier – II</u> – No tax benefits